Startups

Attila Ulbert

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Forbes

ÜZLET PÉNZ LEGYÉL JOBB! A JÓ ÉLET WOMEN FINOM INTERJÚ ZÖLD NAPI CÍMLAP

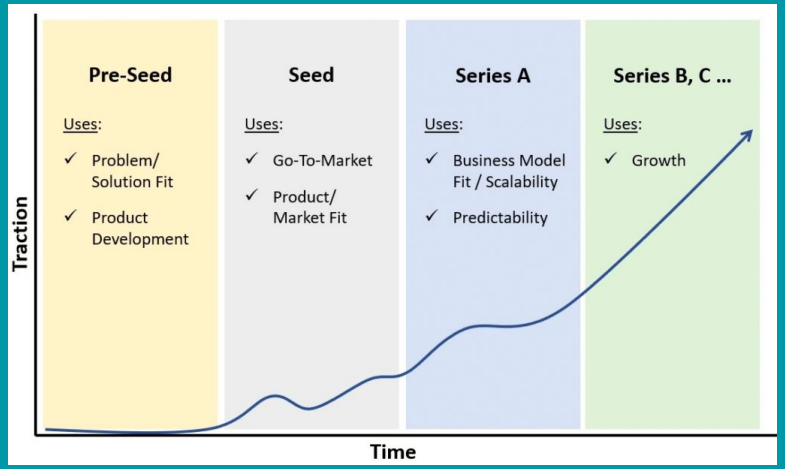
NAPI CÍMLAP 8 PERC OLVASÁS

Emberi életeket akart menteni. Most már csak üzletet kellene csinálni belőle

Időben felismerni egy bőrelváltozás rosszindulatúvá válását életeket menthet. Ez volt a célja az Emdee Skin mesterséges intelligencián alapuló ingyenes applikáció fejlesztőjének is, Ulbert Attila csak később gondolt az üzletre, nem kenyere a marketing. De addig is zsebükben a...

How startup funding works?

1. **Pre-Seed:** own savings. Build a minimum viable product (MVP).
2. **Seed:** Angel investors, individual investors, or early-stage venture capital firms. Scale the business, further develop the product or service, and expand the team.
3. **Series A:** venture capital firms. Need to demonstrate traction and a solid business model to secure Series A funding. Growth and expand market reach. Marketing, hiring.
4. **Series B:** Already has a proven product-market fit, a growing customer base, and a clear path to profitability. Expand into new markets, acquire competitors, and strengthen the company's market position.
5. **Series C and Beyond:** scaling on a global level
6. **IPO (Initial Public Offering):** stock exchange



https://www.visualcapitalist.com/startup-funding-stages/
https://openvc.app/blog/funding-stages-pre-seed-series-a

Startup success rate

YCombinator: startup accelerator and venture capital firm. Famous YC companies: Airbnb, Dropbox, Stripe, Reddit, DoorDash, Coinbase, Instacart, PagerDuty, Twitch, Coinbase

Since 2005, Y Combinator has funded over 3,000 companies and worked with over 6,000 founders. Every 6 months over 10,000 companies apply to participate in our accelerator and we typically have a **1.5% - 2% acceptance rate**.

Success rate:

- Funding: Y Combinator companies have raised a cumulative total of over $100 billion in funding.
- Acquisitions: Over 100 Y Combinator companies have been acquired by other companies, including Google, Facebook, and Stripe.
- Public listings: Over 20 Y Combinator companies have gone public, including Airbnb, Stripe, and DoorDash.

Default rate for Y Combinator companies is lower than 20%.

Why do startups fail?

Common reasons:

- **Lack of product-market fit**
- Running out of money
- Poor execution
- Team conflict
- Competition from established companies

Building a remarkable product

1. Talk to customers, and develop a market thesis
2. Listen to their problems, not their proposed solutions
3. Rapid prototyping and user testing
4. Build the solution
5. Test the solution with them
6. Did it work? If false, GOTO 1
7. By the time you've reached this step, you've likely looped ~27 times

"Founders spoke to a median of **30 potential customers** before feeling like their idea was solid." (How to validate your B2B startup idea)

Két Tech Startup Naplója

Start with the problem

How to Find a Good Problem For Your Startup to Work On

Focus on the problems. Easy to get lost when we start with the solution, and search for the problem. The search space is smaller is we start from the problem.

Problem can be obvious to people or we need to educate people.

Good problem: very painful and lots of people have it. Lot of successful startups focus on a niche problem, did not try to address the problem of many people (e.g., airbnb, uber).

First time founder: solve your own problem → shorter feedback loop

How do you find a problem?

- **Frustration** - why does it take so long to…? Why is this so shitty? …
- Apply it to one's **own work.**
- Don't accept that the world needs to be this/that way.
- **Write down sources of frustrations in a journal.** Look back a few weeks later, maybe there is a solution, or looks dumb.But don't filter too early.
- Be curious. Outside of the norm.
- Most interesting innovations are like **crossovers**.
- 2x2: How obvious and difficult a problem. Hunt obvious and hard to solve, **not obvious problems that are easy to solve**. Obvious and easy are the best, but might be already solved.
- The solution shall be 10x better.(switching cost is high)

Think about **how the world is gonna change**, and the second and 3rd order impacts of it. E.g., remote work, self driving cars, minituarized, computing …

How to get startup ideas

Why do so many founders build things no one wants? Because they begin by trying to think of startup ideas. That m.o. is doubly dangerous: it doesn't merely yield few good ideas; it yields bad ideas that sound **plausible enough to fool you into working on them**.

When a startup launches, there have to be at least some users who really need what they're making — not just people who could see themselves using it one day, but **who want it urgently**

- **Made-up startup ideas are usually of the first type. Lots of people are mildly interested in a social network for pet owners.**

If you look at the way successful founders have had their ideas, it's generally the result of some **external stimulus hitting a prepared mind**. The verb you want to be using with respect to startup ideas is **not "think up" but "notice".**

Noticing. Once you're living in the future in some respect, the way to notice startup ideas is to look for things that seem to be missing.

- Pay particular attention to things that **outrage you**.
- When you find the right sort of problem, you should probably be able to describe it as *obvious*, at least to you.

School. The **clash of domains** is a particularly fruitful source of ideas. If you know a lot about programming and you start learning about some other field, you'll probably see problems that software could solve.

Competition. Because a good idea should seem obvious, when you have one you'll tend to feel that you're late. Don't let that deter you. Worrying that you're late is one of the signs of a good idea. **You don't need to worry about entering a "crowded market" so long as you have a thesis about what everyone else in it is overlooking.**

Strategies for Generating Great Innovation Ideas

1. **Start with what you (and your team) are good at**, your expertise (and ideally) your passion and purpose. Think of ideas that you would have an unfair advantage in executing. This is the most important step in the recipe!
2. **Go to people** (or your customer) and find out what problems they have. Look for workarounds they use, as a hint!
3. Identify a problem that you **personally encountered** (Bottom-Up approach). That can be a frustrating moment, friction point, or even an underserved need that you or your customers encounter.
4. Think of things that you (or your customer) **wished existed**. Identify underserved needs and workarounds that people use to solve a problem.
5. Look for **things in the world that changed recently** that might have created new opportunities (Top-Down approach). That can be a new technology, new platform, new problem in the world or new regulation.
6. Look for **companies that have been successful** recently and create new variants. This is quite a successful recipe in particularly creating a startup or a new corporate product. For instance, there is no just one taxi hailing company globally, but we have Uber, Lyft, Grab, GoJek, Free Now, and more.
7. Look for a **big industry or business sector that seems broken** or have lots of painpoints/friction.
8. **Network & Collaborate.** Innovation doesn't happen in a vacuum, so it's important to network and collaborate with others. Attend industry events, join professional associations, and seek out opportunities to collaborate with other businesses and organizations.

Tar pit ideas - avoid these

Seem like good ideas, something people want, very appealing, they don't seem to be hopeless.

Example: an app discover new things

Most of them are "consumer ideas": marketed to people not companies.

- E.g.: Google / Facebook: it was so good that people evangelized it; people was obsessed with it, 0 marketing, 0 growth hack
- Timing is important: no (real) competition yet

There is many startup ideas that have very large supply of founders that want to work on them and there is **some startup ideas with a very low supply of founders that want and *have the skill set to work on them***. E.g.: no one want to work on open source developer orchestration tools; quantum computing.

Best pivots: **lower supply of other people** doing it with **larger demand** for customers.

The best companies create the market

Find a hidden need; everyone will tell that the idea is dumb; **So obvious that everyone would be doing it**

- What are you a **substitute** for, what need are you serving better?
- What job are you being hired for?

Where are you getting pulled? **Where are people hacking the thing you got and using it in a way you didn't intend.** Double down on that.

Often whet you create will initially **seem to fit into an existing market, but with less functionality.** With the fullness of time, it will become obvious that the job your customers are hiring you for is completely different than the "incumbents".

Evaluate ideas

1. How **acute** is the need / problem that you are trying to solve? Study the problem space very well and check whether the problem is of high quality. Do you have a new, important insight into this idea that can address the problem? Focus in understanding both functional and emotional needs of your potential users/customers.
2. Are there **proxies**? For instance, similar companies that show the idea can work?
3. Do you have **competition**? Many times we believe that having competition is bad for our innovation or startup idea, but reality is that the ideal situation is a market where there are existing competitors, but you have noticed something that they all seem to have missed!
4. How big is the **market**? Who will buy or pay for your ideas? Is it in a large, underserved market? Or in a market that can become large? This impacts everything from your ability to fund the idea within your company or fundraise your startup to who may be interested in acquiring you.
5. Is this a **scalable** business? Can it generate a return on investment that grows linearly, if not exponentially? Can you generate network effects?

How to Evaluate Startup Ideas

Startup = Growth (Company that is designed / created to very fast)

Key question from a great investor: How the company can possibly win?

Startup idea = hypothesis

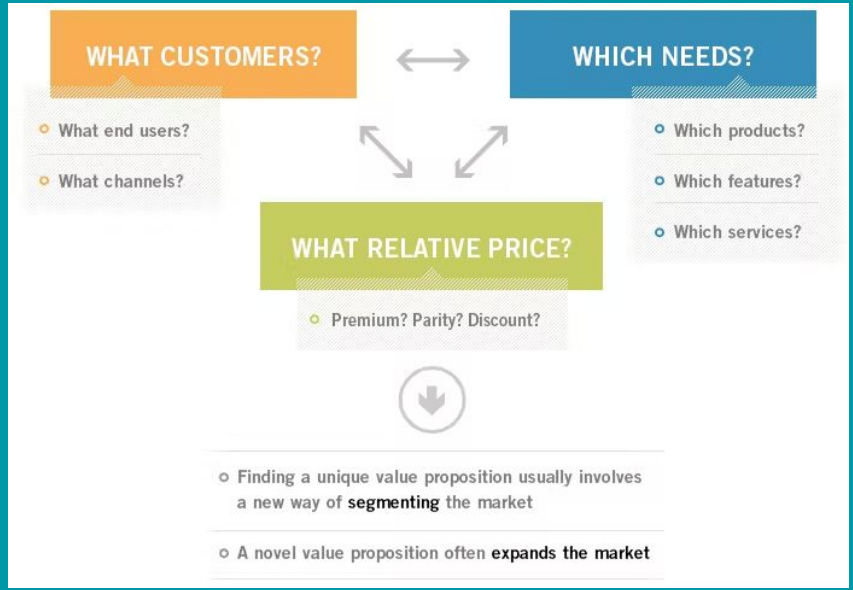
Construct the hypothesis (the pitch):

- Problem: Have multiple of these
  - Good problems are **popular** (lot of people): 1M+ users
  - **Growing**: 20% year growth market
  - **Urgent**: right now
  - **Expensive** to solve: $Billion
  - **Mandatory** (have to solve it) : Law has changed
  - **Frequent**: Hourly
- Solution: Don't start here!
- Insight: why this solution is gonna work? What is out unfair advantage? Has to be related to growth!
  - Unfair **advantages** (not all of them, but at least 1, nice: 2-3):
    - Founders: **super expert** to solve the problem (1 out of 10); e.g.: has a PhD and has a special patent?
    - Market: **20% growth** [but this advantage is not enough, need more]
    - Product: **10x better** than the competition (10x faster, 10x cheaper, …)
    - Acquisition: **$0; costs no money**, word of mouth
    - Monopoly: as the company grows is it **difficult to beat the company**? Network effects and marketplaces.

https://www.wordstream.com/blog/ws/2016/04/27/value-proposition-examples

Value proposition

- Which **customers** are you going to serve?
- Which **needs** are you going to meet?
- What relative **price** will provide acceptable value for customers and acceptable profitability for the customer?



Slack saves time by tearing down communication and systems silos. Find anything, anywhere, anytime, from any device.

Airbnb exists to create a world where anyone can belong anywhere, providing healthy travel that is local, authentic, diverse, inclusive and sustainable.

Uber: One tap and a car comes directly to you. Your driver knows exactly where to go. Payment is completely cashless.

Competition is for losers

Goal: income monopoly

Capturing value: A business creates X dollars of value and captures Y% of X. X and Y are independent variables. X*Y% what matters!

Two kinds of businesses: perfect competition (e.g.: restaurants, airlines), and monopolies (e.g.: google in search). There is little that is in between.

Lies:

- Monopolies: pretend that are in competition (due to government) - “we are in a huge market”: Google 66.4% search monopoly, they say they are ad company (3.5% of the global ad market).
- Competition: pretend that they do something special (to attract capital) - “we are in a narrow market”: Nepalese restaurant in Buda. Startup version: Sharing, Mobile, Social, Apps → Sharing mobile social apps. Something of something is basically nothing.

Evidence of narrow markets: high cash and high profit margin

How to build a monopoly?

Large existing markets: tons of competition

Start with a small market, and get a large share of it, take over it. It's easier to dominate a small market than a large one. If you think your initial market might be too big, it is almost certainly is.

- Amazon: bookstore → everything
- Ebay: pez dispensers (urban legend) → all auctions
- Start with market that is so small that people don't think it is valuable.
- PayPal: 20k power sellers in eBay → everything
- Facebook: 10k people at Harvard → …

Why startups win? (vs big companies)

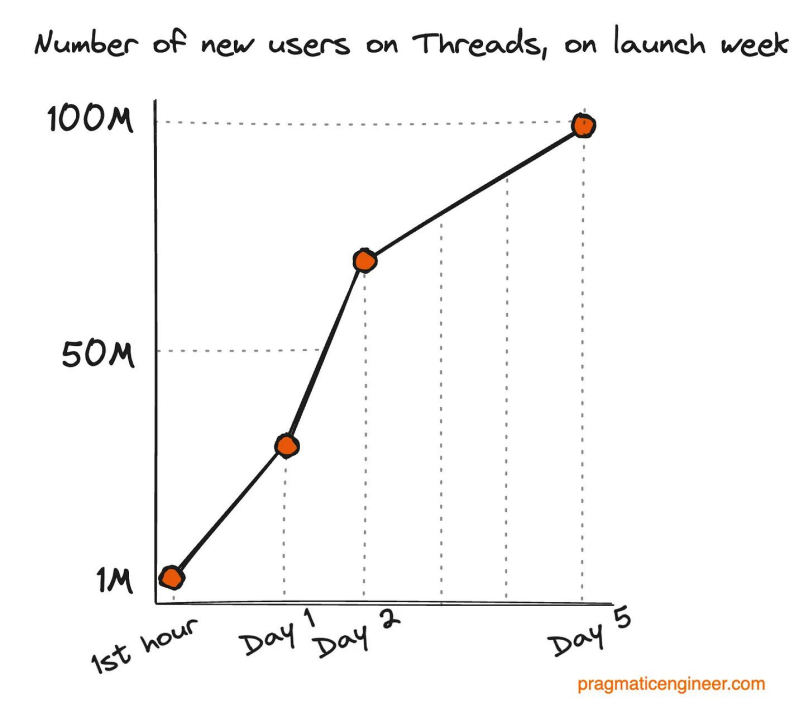
One no vs one yes: In a big company **all bosses must say yes** to an idea, in a startup, it is **enough to get one investor** who says yes

Look for an idea that sound bad, but that are good

Fast changing market

Building Meta's Threads App

1. Building Threads:
   a. The team was **lean, flat and engineering-heavy**, which was an intentional organizational design choice. We had a tight deadline and we wanted to maximize quick decision making and minimize bureaucracy.
   b. We evoked one of Meta's early mantras, **"code wins arguments."**
   c. The engineering effort from start to launch took **5 months.**
2. Technology choices and engineering approaches
   a. The backend is running on **Instagram's stack.**
   b. Worrying about **automated tests after PMF for frontend** / UI tests.
3. Planning for the launch
   a. The app was in **constant dogfooding** from the start.
   b. We had to **scale our capacity and support the launch**, **on the fly.**
4. The launch
   a. **Devs working on infra components collaborated with production engineers** keeping the systems up, who worked with product engineers debugging their features.



Google & Facebook as first players

There were already search engines, social networks, but they were the first in an important dimension:

- Google: page rank, they were much better than another
- Facebook: first one with real identity

Do things that don’t scale

Startups take off because the **founders make them take off**

The most common unscalable thing founders have to do at the start is to **recruit users manually**

- Founder shall **do the onboarding** ("Collison installation")

Fragile. The big danger is that you'll dismiss your startup yourself.

- The question to ask about an early stage startup is not "is this company taking over the world?" but **"how big could this company get if the founders did the right things?"**

How do you find users to recruit manually? If you build something to **solve <u>your own problems</u>, then you only have to find your peers**, which is usually straightforward.

You should take extraordinary measures not just to acquire users, but also to **make them happy**. For as long as they could (which turned out to be surprisingly long), Wufoo sent each new user a hand-written thank you note.

What founders have a hard time grasping (and Steve himself might have had a hard time grasping) is what insanely great morphs into as you roll the time slider back to the first couple months of a startup's life. It's not the product that should be insanely great, **but the experience of being your user**. You can and should **give users an insanely great experience** with an early, incomplete, buggy product, if you make up the difference with attentiveness.

Sometimes we advise founders of B2B startups to take over-engagement to an extreme, and to **pick a single user and act as if they were consultants building something just for that one user**.

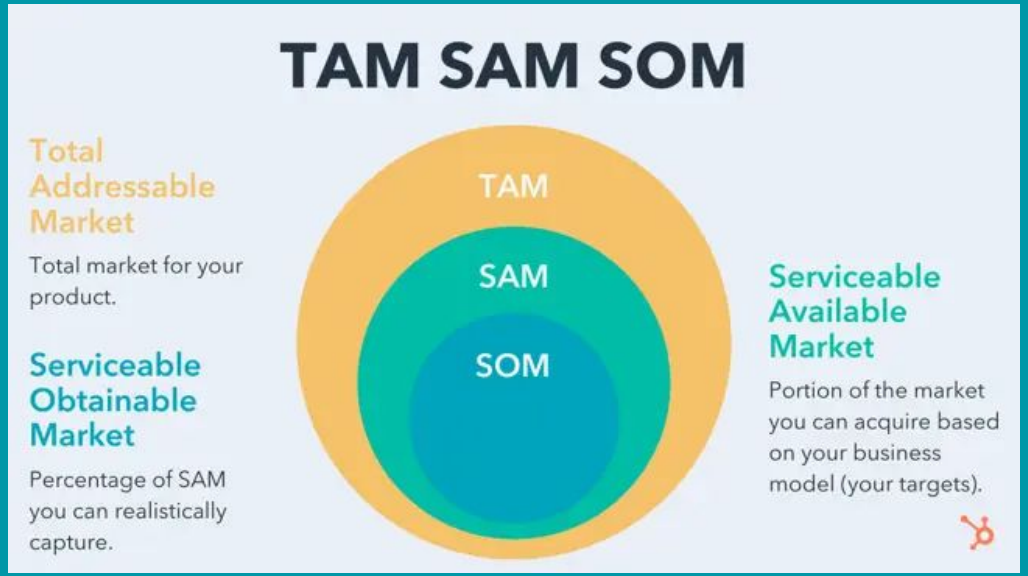
Manual. When you only have a small number of users, you can sometimes get away with **doing by hand things** that you plan to automate later.

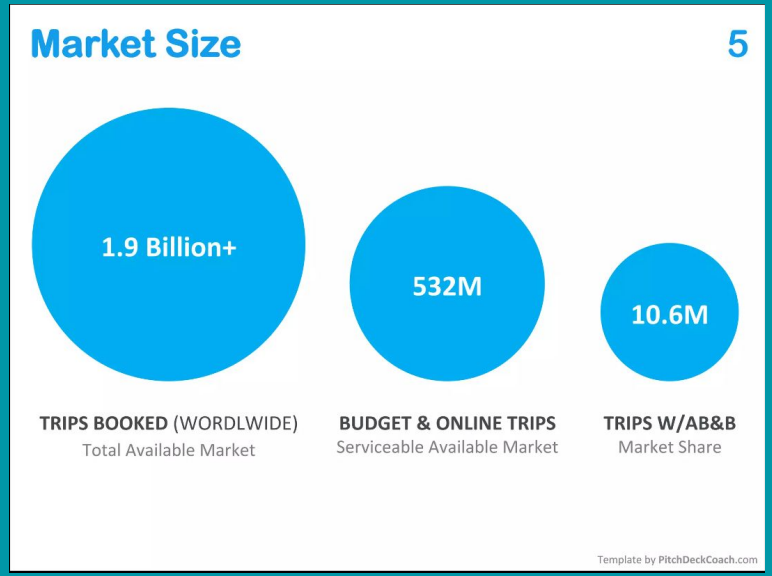
Big. **Big launch doesn’t work. Partnerships too usually don't work.**

Product-market fit

TAM, SAM, SOM

AirBnB market sizing





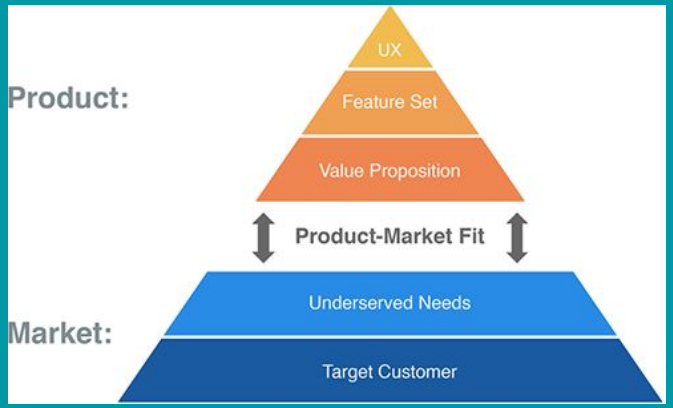
What is product-market fit?

The product effectively meets the needs and demands of a specific group of customers, creating significant value and generating a positive response.

It's not enough for customers to be *interested*. It's not even enough for customers to make *verbal commitments*. Product-market fit is when customers *actually* purchase your product, despite other available solutions.

A few identifiers by Mark Andreessen:

The customers are buying the product just as fast as you can make it—or **usage is growing just as fast as you can add more servers**. **Money** from customers is piling up in your company checking account. You're hiring **sales** and **customer support** staff as fast as you can. **Reporters** are calling because they've heard about your hot new thing and they want to talk to you about it. You start getting entrepreneur of the year awards from Harvard Business School. Investment bankers are staking out your house. You could eat free for a year at Buck's.



Source: Dan Olsen

How do I know that I achieved product market fit? →

Key metrics:

1. Returning usage: day 1, 3, 7, 30 retention
2. NPS (should be > 50)
3. Paying customer renewal rates

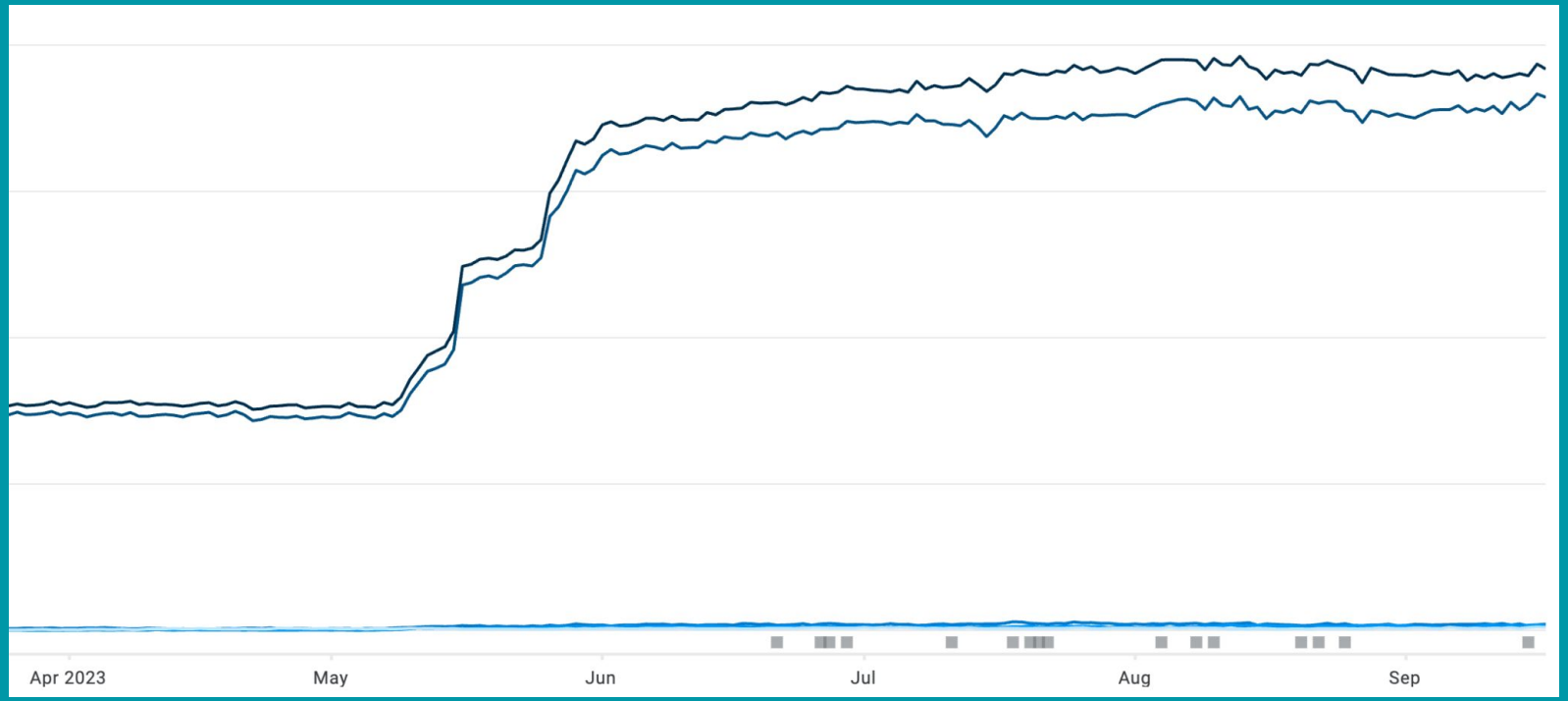
Metrics not included / interesting:

1. Signups
2. Conversion rate

Qualitative metrics you can use:

- Press coverage
- Influencer reviews
- Word-of-mouth marketing
- Interests groups
- Product review feedback
- Comments
- Customer surveys

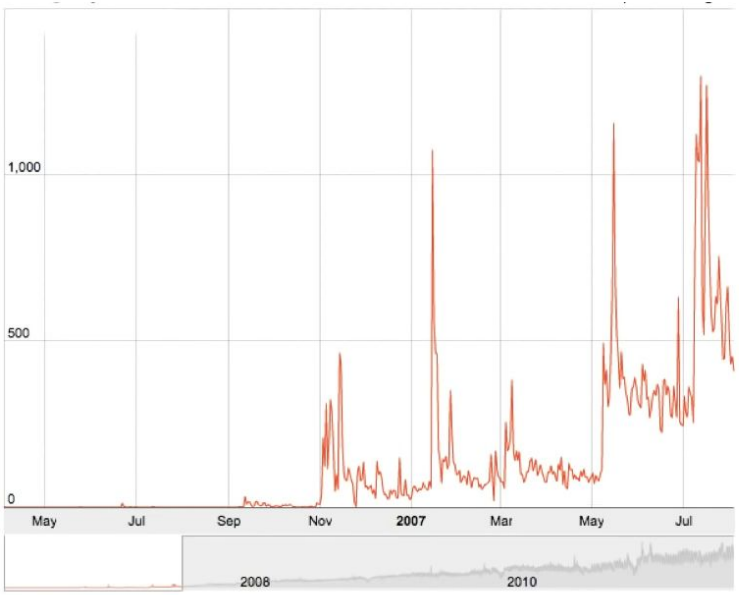
Lack of PMF, but…



David Rusenko - How To Find Product Market Fit

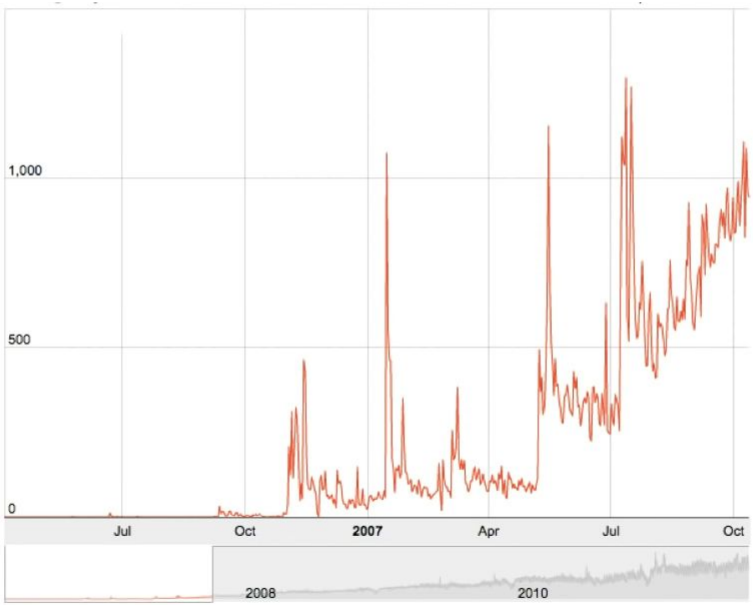
August 2007

+18 Months

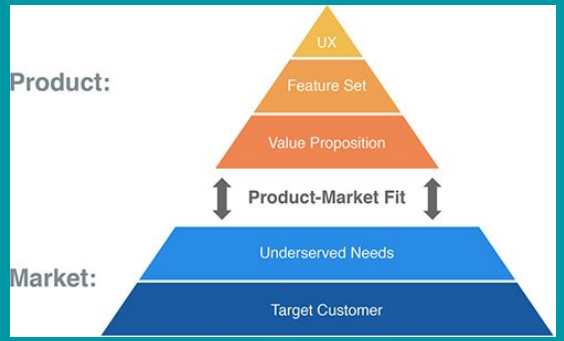


October 2007

+20 Months



A Playbook for Achieving Product Market Fit



Market: 1. Target customer → 2. Underserved needs

Product: 3. Value proposition → 4. Feature set → 5. UX

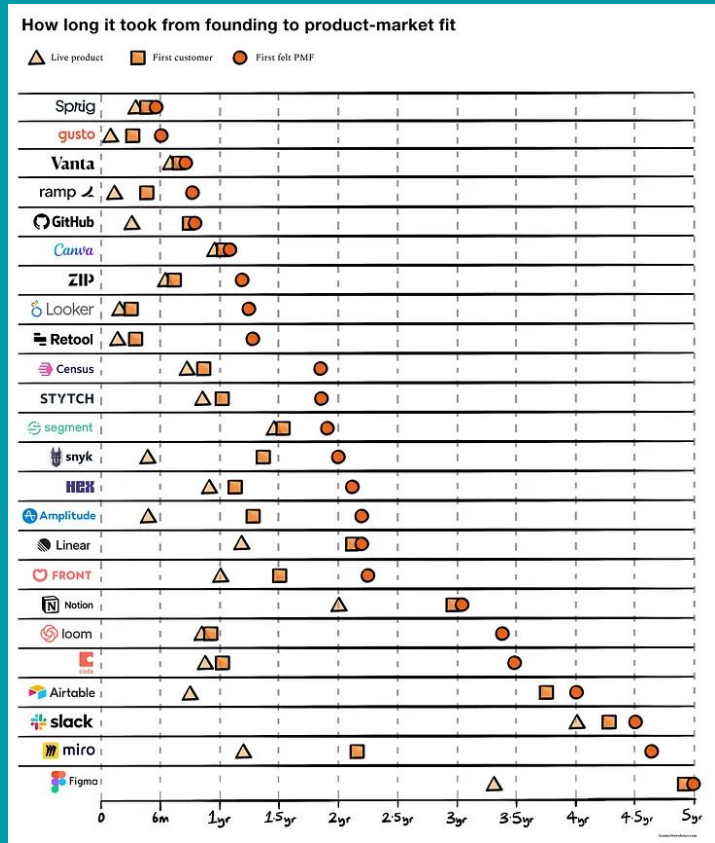
Product-Market fit: Market ←→ Product

Process:

1. Determine your **target customer**
2. Identify **underserved needs**. Be careful no to pollute problem space with solution space, do not embed solution in the problem statement. 5 whys… Organize the benefits. Prioritize: Importance of user need vs User satisfaction with current alternative (low, med, high).
3. Define **value proposition**: Kano model: Must haves, Performance benefit, Delighter benefit || Competitors & You → key differentiators
4. Specify **MVP feature set**
5. Create **MVP prototype** (quick prototyping, clickable)
6. **Test MVP with customers**

A guide for finding product-market fit in B2B

1. Get one company to love your product
2. Get one company to pay (a meaningful amount of money) for your product
3. Get more than one company to love and pay for your product
4. Start noticing a shift from push to pull, and organic growth
5. Keep growing consistently



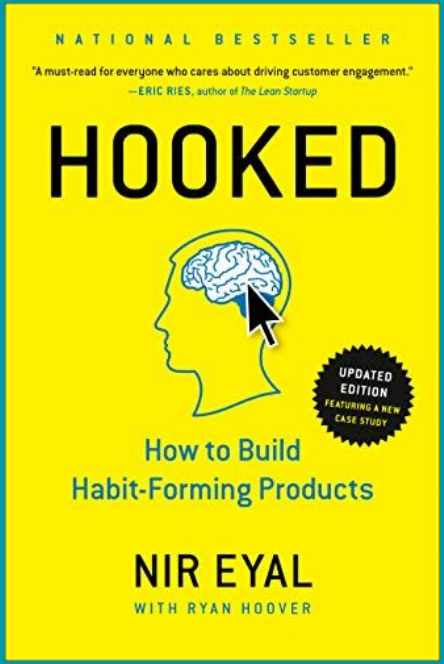
Growth hacking & Habit forming

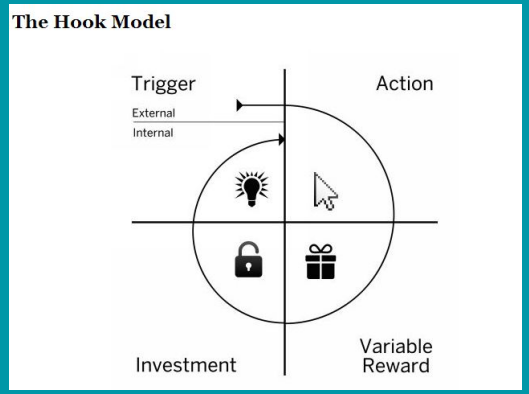
Growth hacking strategies:

- Pre-Launch Email List
- Launch on Product Hunt
- Leverage Referral Marketing
- Attend Community Events
- Build a Social Media Community
- Do Guest Posting
- Work with Influencers
- Cash the Trends

In Hungarian:

- http://startupdate.hu/40-growth-hacking-technika-elso-resz/
- http://startupdate.hu/40-growth-hacking-technika-masodik-resz/





Sales

How to Get Your First Customers

Manually recruit customers

Founders must do sales

Should not hire sales team!

How to write a great sales email?

- It should be short: 6-8 sentences
- Clear language, no jargon, no buzzwords
- Address the problem
- No HTML
- Say you are the founder & describe your success (YC batch, previous company)
- Include your website: screenshots of the products and bullets of what it does (video also useful)
- Ask for a call a meeting

Not easy to onboard users, there is a big churn as a consequence, so make sure that YOU do the onboard.

Track of customers in a spreadsheet.

First customers should be the easiest:

- You should have a big pipeline of potential customers - prioritize correctly!
- Sell to your network
- Sell to startups, this is the easiest (bigger companies have more bureaucracy, etc.)
- 95% of people are not early adopters - avoid tem

Charging:

- If you don’t charge your customers, then you are not a company
- It is a sign that you are providing value
- If they don’t want to pay, you should move
- No free trials - offer a money back guarantee or opt-out from annual contract
- Increase your price until your customers start complaining

Working back from our goal:

- Take notes and track the drop off during the sales process

If there is no sales, not enough mails were sent! We must know our sales conversion rate.

Product

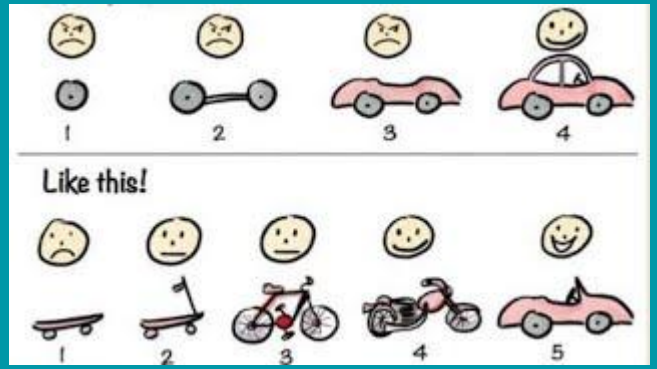
MVP

Goal: start development from + learn from users

Must be buildable in weeks!

If you can leave out a user story, and the product would still have a non-zero value for an early adopter, then that given user story shall not be part of the MVP.

A “good” MVP is bad, in terms of quality, user experience. Only the core function(s) work well, that are needed by the early adopters badly.



Instead of MVP: Minimum **Remarkable** Product

“Launch when you product is better than what’s out there” - Paul Buchheit

1. Only one thing matters: focus on the things that get you to your next milestone (here that’s product market fit)
2. Optimize for learning: “What is your biggest unknown that would rewrite our priority list?”

Pitch

Ultimate pre-seed pitch deck guide

The Art and Science of Early Stage Pitch Decks

Well-conceived business model and product sections remain crucial, but investors won't spend time wading through extraneous information. Going forward, founders should be even more succinct when editing their decks: aim to make an immediate impact while conveying just enough detail to entice VCs to take a meeting.

Overview of time spent

- Between 2021 & 2022, investors spent less time reviewing pitch decks than ever before. On average, VCs spent **~2.5 mins on the entire pitch deck** in 2022 (24% lower as compared to ~3.5 mins in 2021)
- Now let's look at pre-seed and seed decks in particular:
  - 4 min 10 sec on an 18 page pre-seed deck **(less than 14 sec per page!)**
  - 3 min 20 sec on a 19.5 page seed deck (less than 11 sec per page!)

Top 3 sections where VCs spend most time (pre-seed deck)

Product
Show don't tell

Pre-seed investors are willing to spend the bulk of their deck viewing time on this section, but because they're spending less time overall, aim for direct communication of what's already built and roadmap plans.

- Product features (via wireframes or screenshots)
- Alpha/beta results
- Product roadmap

Business Model
Fewer details but memorable

As startups are raising more money at earlier stages in their lifecycle, VCs expect these companies to look like fully-fledged businesses. They need to communicate a business model that's repeatable, easy to understand, and memorable.

- Monetization Plan
- Go to market strategy

Company Purpose
The gatekeeper

This 1-2 sentence slide at the beginning now carries a lot of weight, and investors may be spending more time here in order to determine whether they want to read through the rest of the deck. It can give VCs an immediate indication of a deck's quality & prompt further inspection.

- Succinct and memorable statement of company's mission

Order of sections in a successful deck

Companies with a successful fundraise tended to have their **business model and fundraising goals sections at the end** of the deck, whereas unsuccessful companies put them at the beginning and middle, respectively.

Avg: 13 sections | 18-20 slides

- ⏳ Company purpose
- Problem
- Solution
- Why now?
- Market Size
- ⏳ Product
- Team
- Traction
- Why now?
- ⏳ Business Model 📅
- Financials
- Competition
- The Ask 📅

Ideal order of sections in a successful pitch deck

1. Company Purpose
2. Problem
3. Solution
4. Why now?
5. Market size
6. Product
7. Team
8. Traction
9. Business model (incl. GTM)
10. Financials
11. Competition
12. The Ask

Share a story, not just a deck: Keeping in mind the order of sections given below, start off by writing 10-15 headlines that sum up your startup and your story. And then begin building your slides. Remember, narratives are much easier to digest than lots of text, facts, and stats. Investors should be able to relate with your problem and product.

https://www.phocuswire.com/Pitch-decks-travel-game-changers-Airbnb-Uber

35 Best Pitch Decks From Real-Life Startups [With Templates]: https://visme.co/blog/best-pitch-decks/

References

References

Startup to exit: Lessons from a first-time founder
Avoid These Tempting Startup Ideas
Sam Altman - How to Succeed with a Startup
Competition is for Losers
Kevin Hale - How to Evaluate Startup Ideas
How to Get Your First Customers
David Rusenko - How To Find Product Market Fit
A Playbook for Achieving Product Market Fit - Dan Olsen
Masterclass: Product Market Fit 10X Faster with Amy Jo Kim
Startup 101: How to Find a Good Problem For Your Startup to Work On
Do things that don’t scale
How to get startup ideas
Where to play (slides)
Strategies for Generating Great Innovation Ideas
Ultimate pre-seed pitch deck guide

https://www.lennysnewsletter.com/p/how-to-validate-your-b2b-startup
Validation Livestream: "Tell Me Your Startup Idea and I'll Tell You How to Validate It"

Accelerators

General:

- Y-Combinator
- Techstars
- 500 Startups
- Andreessen Horowitz

Specialized:

- SOSV
- IndieBio
- HAX
- Orbit
- dLab

Check the accepted startups! For example, 0 dermatology startup at YC (all time):
https://www.ycombinator.com/companies?industry=Diagnostics&query=derma

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